

MARKET CANON

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Dexter Hadley, MD/PhD

Hadley Lab CANONIC

Abstract

INTEL about MAGIC. What MAGIC knows about its market.

hadleylab.org Governed Research. Every claim cited.

Contents

Axioms

1. Total Addressable Market

Market sizing **MUST** be grounded in verifiable data with explicit methodology.

Example: MAGICs TAM by governed industry: Health IT (\$300B global), Financial Compliance (\$150B), Legal Tech (\$50B), Government IT (\$120B), Defense Compliance (\$80B), Data Governance (\$72B) = \$772B aggregate. But MAGIC doesn't replace these it GOVERNS them. The governance layer TAM: Enterprise AI Governance (\$50B emerging, growing 35% CAGR as AI regulation accelerates globally). EU AI Act (2024) creates mandatory compliance market. SAM (reachable within 3 years): \$5B (US healthcare + financial governance). SOM (capturable Year 3): \$100M ARR.

2. Buyer Personas

Every sales engagement **MUST** map to defined buyer personas with documented pain points and decision authority.

Example: Four primary personas across healthcare (MAGICs beachhead):

- **CIO/CTO** Pain: AI governance liability, shadow AI sprawl, regulatory audit preparation. Budget: IT capital/opex. Decision: technical architecture, integration, security.
- **CMIO/CMO** Pain: clinical decision support validation, evidence traceability, clinician adoption. Budget: clinical operations. Decision: clinical workflow fit, outcome measurement.
- **Chief Compliance Officer** Pain: HIPAA audit findings, information blocking rules, AI bias documentation. Budget: compliance operations. Decision: regulatory coverage, audit trail completeness.
- **CFO** Pain: reimbursement optimization, risk quantification, ROI justification. Budget: enterprise investment. Decision: financial model, payback period, TCO.

Multi-threaded sales **MUST** engage at least 2 personas simultaneously. Champion (typically CMIO or innovation officer) differs from economic buyer (CFO/CIO).

3. Market Segmentation

Segments **MUST** be defined by governance needs, not just industry classification.

Example: MAGIC segments by compliance tier:
 - **COMMUNITY (35)** Open source, individual developers, academic researchers. Free tier. Seed the ecosystem.
 - **BUSINESS (43)** Startups, SMBs. Self-serve. \$0-\$10K/year. Volume play.
 - **ENTERPRISE (63)** Healthcare systems, financial institutions, government agencies. \$100K-\$500K/year. Structural standards required (FHIR, SOX, FedRAMP).
 - **AGENT (127)** AI-native companies, LLM deployers, autonomous system operators. \$250K-\$1M/year. Full primitive composition (INTEL+CHAT+COIN).
 - **FULL (255)** Mission-critical governance. Defense, regulated medical devices, nuclear. \$500K-\$2M/year. All 8 dimensions enforced.

Healthcare is the beachhead because it requires **ALL** governance dimensions simultaneously (HIPAA + FDA + CMS + state law + clinical evidence + interoperability).

4. Competitive Landscape

Competitive positioning **MUST** cite specific differentiation, not generic claims.

Example: No direct competitor governs AI compliance at the dimensional level. Adjacent competitors:
 - **Tempus** (\$6.1B valuation) oncology data platform. INTEL only. No governance layer. No compliance enforcement. Tempus sells data access; MAGIC governs the work.
 - **Epic/Cerner** EHR vendors with integrated CDS. Locked ecosystems. MAGIC is EHR-agnostic governance that works across systems. Epic can't govern non-Epic workflows.
 - **Constitutional AI (Anthropic)** AI safety through training. Runtime only. No audit trail. No compliance bits. No jurisdictional awareness. MAGIC governs at spec time, not just inference time.
 - **EU AI Act compliance tools** (emerging) checkbox compliance. MAGIC provides machine-enforceable

governance, not just documentation. - **SOC 2/ISO 27001 auditors** point-in-time assessment. MAGIC provides continuous O(1) compliance verification.

MAGICs moat: 255-bit dimensional governance with O(1) validation. No one else has the math.

5. Market Timing

Market entry **MUST** align with regulatory catalysts that create mandatory compliance demand.

Example: Three regulatory catalysts creating urgency:
 - **EU AI Act** (2024, phased enforcement through 2027) high-risk AI systems require conformity assessment, risk management, human oversight, transparency. MAGIC provides machine-readable governance that maps to EU AI Act requirements.
 - **FDA AI/ML Action Plan** expanding Software as a Medical Device (SaMD) regulation. Total Product Lifecycle (TPLC) approach requires continuous monitoring. MAGICs TRANSCRIPT ledger provides exactly this.
 - **ONC Information Blocking Rules** (2024 enforcement) \$1M penalties per violation. MAGICs interoperability governance (FHIR-native) directly addresses information blocking compliance.

Window: 2026-2028 is the compliance crunch. Organizations that don't have AI governance in place face regulatory action.

Constraints

MUST: Cite verifiable data source for market sizing

MUST: Name specific competitors never use "others"

MUST NOT: Present TAM as revenue projection TAM revenue

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